

BONDS? WE DON'T NEED NO STINKIN' BONDS

The average annualized real return after inflation on U.S. long-term government bonds from 1900 through 2013 was just 1.9%, considerably less than the 6.5% average annualized real return from U.S. equities during this same period.² Bonds had negative real returns from 1940 all the way through 1981. Purchasers of long-term government bonds in 1941 had to wait until 1991 before breaking even.

As for what we can reasonably expect now, current bond yield is a good indicator of what you can expect to earn in the future. John Bogle, founder and former chairperson of The Vanguard Group, pointed out that since 1926, the yield on 10-year U.S. Treasury notes explains 92% of the annualized return an investor would have earned had one held the notes to maturity and reinvested the interest payments at prevailing rates. The current annual yield on 10-year Treasury notes is 2.7%. This is the best guess of what holders of intermediate-term Treasury bonds can expect as a reasonable annual return now.

Historically, investors have used bonds to diversify their stock portfolios and to reduce portfolio volatility. Investors typically set aside enough in lower-volatility assets, such as bonds, to enable them to weather periodic stock market downturns. During the 2007–2008 financial crises, bonds held up relatively well with respect to stocks. However, that has not always been the case. Stocks and bonds have been positively correlated nearly 70% of the time since 1973. They share some common risk factors and move in opposite directions only under certain conditions. [Figure 5.1](#) shows the five-year rolling correlation between the Ibbotson Long-Term U.S. Government Bond Index and the S&P 500 Stock Index since 1931. You can see that the correlation between stocks and government bonds has been greater than zero more than half the time.³